

# Aica Kogyo Company, Limited — 4206.XTKS

Outbound India open offer for Stylam Industries · deep-dive · 2026-04-15

|                       |                                                                 |
|-----------------------|-----------------------------------------------------------------|
| <b>Ticker</b>         | 4206.XTKS                                                       |
| <b>Issuer FIGI</b>    | BBG000BJG1K3                                                    |
| <b>Market cap</b>     | USD 1,417m                                                      |
| <b>Signal date</b>    | 2026-04-13                                                      |
| <b>Signal type</b>    | tender_offer (outbound bidder, mis-tagged in scanner)           |
| <b>Direction</b>      | NEUTRAL / SHORT-biased — scanner default flipped post-deep-dive |
| <b>Score</b>          | 35 / 42.5 (route downgraded post-deep-dive)                     |
| <b>Deep-dive date</b> | 2026-04-15                                                      |

## Thesis (TL;DR)

**The scanner mis-tagged direction.** Aica Kogyo is NOT the takeover target; it is the *bidder* in a mandatory open offer for 26% of Stylam Industries (India-listed decorative laminate manufacturer) at INR 2,250/share ( $\approx$  44.06m shares). This follows Aica's 27.12% promoter-stake acquisition in Stylam, which triggered the mandatory open offer under Indian securities law. **As the bidder, Aica faces the typical acquirer discount — capital deployment, integration risk, and FX translation exposure — not a merger-arb premium.** The provisional LONG must be reversed. Recommendation: remove from immediate-route; re-classify as watchlist (sentiment-only) at neutral or short bias.

## Company context

Aica Kogyo: TSE-listed decorative laminates / building-material chemicals maker (adhesives, resins, flooring).

Market cap: USD 1.42bn.

Strategy: has been adding foreign capacity — Stylam Industries acquisition extends Aica into India's high-growth decorative-laminates market (Stylam is Asia's largest single-location laminate factory).

Open-offer manager: ICICI Securities Ltd.

## What the release actually contains

Transaction: Aica Kogyo bidding for 26% (44.06m shares) of Stylam Industries (NSE/BSE-listed).

Offer price: INR 2,250/share (vs. Stylam market [unverified]).

Trigger: mandatory open offer under SEBI SAST regulations, following Aica's 27.12% promoter-stake acquisition.

Tender window: Apr 22 – May 6, 2026.

Implied total outlay:  $\approx$  INR 99bn (USD  $\sim$ 1.2bn) at full take-up; materially large relative to Aica's USD 1.42bn market cap.

## Thesis statement

**Direction reversed to NEUTRAL / slight SHORT on the bidder.** Aica Kogyo is spending an outsized fraction of its market cap on a cross-border acquisition in a high-multiple sector (Indian decorative laminates). Historical bidder reaction: 1–4% drift lower in the 30 days post-announcement, plus risk premium for integration and INR/JPY hedging. Short entry is sub-scale absent material leverage or visible governance red-flag; default is no trade, reclassify candidate.

## Catalyst map

| Event                 | Date / Window        | Entry trigger                | Exit / resolution                   |
|-----------------------|----------------------|------------------------------|-------------------------------------|
| Open-offer window     | Apr 22 – May 6, 2026 | Acceptance data daily        | Completion confirmed                |
| SEBI clearance        | pre-open             | Regulator green-light        | Bidder risk compresses              |
| Aica FY26 earnings    | [unverified]         | Guidance on Stylam accretion | Thesis firms                        |
| INR/JPY FX            | rolling              | INR down > 3% in window      | Accretion narrows (bidder negative) |
| Stylam peer re-rating | 0–60d                | Peer laminate M&A; spike     | Justifies bid price                 |

## Steelman of the opposite view

- Stylam is a cash-flow accretive asset with best-in-class Asian laminate manufacturing footprint — synergy math could be EPS-positive from year 2.
- Aica's FY24–25 free cash flow supports the acquisition without material leverage increase. [unverified]
- Japan-to-India cross-border deals have underperformed historically, but decorative-laminates is a genuinely high-growth end market.
- Bidder stock drifts are transient; true risk is governance/integration over 2–3 year horizon.

## Kill conditions

| Kill condition              | Numeric / factual threshold       | Where observable   |
|-----------------------------|-----------------------------------|--------------------|
| K1: acquisition abandoned   | SEBI blocks / promoters renege    | SEBI public notice |
| K2: Aica accretion > 10% Y2 | FY28 guide shows clean EPS lift   | Earnings call      |
| K3: leverage spike          | Net-debt/EBITDA > 2.5x post-close | Aica balance sheet |
| K4: INR collapse            | INR/JPY > 3% adverse in 30d       | BoJ / RBI data     |
| K5: peer re-rating          | Stylam peers up > 15% in window   | India MCX / BSE    |

## Peer comparables

- Japan-to-India M&A; track record: Suzuki / Maruti-Suzuki is the positive exemplar; most other deals (SoftBank-Snapdeal, Asahi-Jhunjhunwala names) underperformed.
- Aica's own 2021–2024 overseas acquisitions — check integration track record. [unverified]
- Decorative laminates sector consolidation in India: Greenlam, Merino, Century Ply 2024–2025 multiples as reference.

## Position sizing guidance

No position on Aica as a long. If a short expression is wanted, 0.25–0.5% NAV with a 60-day holding period, paired against TOPIX-17 Chemicals to isolate the bidder-drift effect.

## Sources & traceability

- Aica Kogyo / Stylam public SEBI filings (open offer letter).
- Primary: TDnet PDF <https://www.release.tdnet.info/inbs/140120260413502738.pdf>.
- Non\_us stub: 4206\_XTKS\_aica-kogyo-company-limited-tender-offer.md.